

FLIGHT PLAN

The booming aviation sector in India calls for radical changes in building new airports and modernising the existing ones



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In 1999, Andhra Pradesh called for bids to build a world class airport at Hyderabad. N. Chandrababu Naidu, the then chief minister, envisioned a world class airport on his return from the US where people told him that in its absence investments in the form of FDI or joint venture partnerships would not be forthcoming. This fired his imagination and subsequently Andhra Pradesh floated a global tender. We at GMR partnered with Malaysia Airport Holdings Berhad (MAHB) to fulfil the critical criterion of asking for the least grant from the government.

Our immediate challenges were to prove that we have world-class competence on the pre-conditions and then to bring in \$10 million (11 per cent) as equity through MAHB. With great difficulty, we convinced Prime Minister of Malaysia Mahathir Mohammed who, at that time, was sceptical of investing in India. Such challenges provided the framework to build in us qualities of being persistence and determination to build a world-class airport at Hyderabad.

Creating a new airport involves firstly bagging the right to develop the greenfield project against stiff global competition and getting all

the agreements in place. Equally important is rehabilitating those who have to be moved out. A key stage of any infrastructure project is the financial closure and the ability to get to work as the clock ticks away.

Here are the challenges.

▲ **Manage the expectations** Especially of nominees from the Government and corporate sector on the board of the company. It is a significant challenge as often there are conflicting points of views to be handled amicably. This is vital to gain the trust of all sets of stakeholders.

▲ **Provide external infrastructure** Support amenities such as power, roads, sanitation and water supply to a new airport or for the modernisation of an existing airport are vital to provide good connectivity and efficient services. It can be done with urban infrastructure planning skills.

▲ **Believe in the project** It is difficult to overcome challenges and cash in on the opportunities. It took nine long years and a lot of commitment, passion and hard work to create trust and confidence amongst our stakeholders, the Government and the bureaucracy before realising the dream of making the Rajiv Gandhi International Airport (RGIA) a reality.

▲ **Create benchmarks** What we have learnt is that creating benchmarks by bringing in pioneering technologies, ensuring highest standards of workmanship and equipment as well as insisting on quality are critical to building airports. India has recorded a passenger and cargo growth of 13 per cent and 9 per cent respectively over the past five years. India has 0.02 trips per capita as compared to 0.1 of China and 2.2 of the US. With an over 300 million-strong middle class, the demand is expected to increase by 8.5 per cent a year until 2015.

With existing military aircraft needing replacement, India is expected to spend \$35 billion on military aviation alone over the next 20 to 25 years. It implies there are many opportunities in aviation and the need of the hour is to tap them as and when possible.

as told to Amarnath K. Menon



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